JURI 4170/6170: Fintech, Payments, and Digital Assets

Debit Cards & Interchange

Regulation II: Owning the Network

- **Due:** October 5, 2026
- **How to Submit:** Email your answer to JURI_4170@kevinerwin.com. Please submit your answer by Sunday at 8:00 PM, and include your name in the subject line.

Overview

The Durbin Amendment has capped the interchange fees that large banks earn on debit card transactions since 2011, and banks have been looking for a way around it ever since. This summer, American Banker reported that some of the country's largest banks were considering a new one: buying a debit network outright.

In this case study, a client has asked whether that strategy works. There is no settled answer. The question turns on how Regulation II defines a handful of terms and on what the Federal Reserve said about them when it adopted the rule. The point is to read the rule closely, build the strongest argument on each side, and reach a view you can defend.

Materials

- **Board of Governors of the Federal Reserve System, *Regulation II (Debit Card Interchange Fees and Routing)*, 12 C.F.R. Part 235.** The current rule, available at https://www.ecfr.gov/current/title-12/chapter-II/subchapter-A/part-235.
- **Board of Governors of the Federal Reserve System, *Debit Card Interchange Fees and Routing; Final Rule*, 76 Fed. Reg. 43394 (July 20, 2011).** The preamble has a lot of the Board's commentary on how the rule applies to different network structures, so it will likely be helpful on this question.
- **Joey Pizzolato, *Can Banks Skirt the Durbin Amendment by Owning a Debit Network?*, American Banker (July 9, 2026).** The article the client forwarded.

Your Assignment

You are a junior associate at Erwin & Erwin LLC, a leading Fintech, Payments, and Digital Assets law firm. This morning, you received the following email from the partner on the matter.

All parties, facts, and figures in this exercise are fictional and created for classroom use.

Client question: owning a debit network to get around Durbin

Team,

One of our bank clients, comfortably over the $10 billion asset threshold, forwarded the attached American Banker article this morning. Their question is straightforward: is the article right? If they acquired a debit network, could they route their own debit card transactions over it and avoid the interchange fee cap?

Before I meet with the client on Monday, I need your view on whether this works and what the legal arguments look like on each side. Please start with the rule itself, Regulation II (12 C.F.R. Part 235).

I've also attached the Federal Reserve's 2011 final rule (FR Doc. 2011-16861). The preamble has a lot of the Board's commentary on closed-loop and three-party systems, so it will likely be helpful on this question. A few things I'd like you to focus on:

- **How the rule defines its terms.** The client's theory depends on whether the transaction still involves an "interchange transaction fee" and a "payment card network" once the bank owns both sides. Read the definitions carefully.
- **Anything in the rule aimed at workarounds.** The Board anticipated that issuers would try to engineer their way around the cap.
- **Structure.** The article points out that the answer may differ depending on whether one bank buys the network or a consortium does, and on the fact that Star and Accel were built as four-party networks while Discover was not. Tell me whether the rule supports those distinctions.

The format is up to you. Bullets, an outline, or a short memo are all fine. I care more about understanding the strongest argument for the client, the strongest argument against, and where you come out. Flag anything the rule and the preamble simply don't answer, because I'd rather tell the client what's untested than overstate our confidence.

Thanks,

Kevin Erwin
Partner, Erwin & Erwin LLC

All parties, facts, and figures in this exercise are fictional and created for classroom use.